Module 1: TheRealReal — Student Packet

Start here — TheRealReal

Read before class (5–8 minutes): the three facts and three terms below. The full blog, company summary, filing, and detailed role pages are optional depth unless a specific passage is assigned.

In class: review the worked example, explain the decision in your own words, then read only your assigned role in the student packet below. Four leads make decisions; the Account Manager integrates them. The packet works without SkillSimm access.

Three essential facts

- Consignment keeps about 89 cents per revenue dollar before other operating expenses; direct sales keep about 22 cents.
- Operations and technology cost $275.9 million, about 40% of revenue.
- Sell-through exceeds 80%; recruiting more supply may matter more than recruiting buyers.

Three terms

- Customer job: the problem a customer needs solved.
- Value chain: the steps that deliver that solution.
- Chokepoint: a difficult-to-copy step that the customer depends on.

Worked example — discuss before opening the simulation

Illustrative startup: a campus resale service can buy more ads or improve item verification. Draw its chain; explain which investment addresses the customer's biggest obstacle and what evidence would test that choice.

Readiness check: What is the customer hiring the company to do, and which step does your decision change? Ask a teammate to explain the task back before starting.

Choose your role

Read the primer above and only your assigned role below. The detailed role pages and full company summary are optional references. Record the decision text, evidence, trade-off, and what would change your mind.

Financial Lead

Decision

The company is $23.9 million from operating breakeven. Where should the next dollar of growth spending go?

Your four choices — pick one

- **(A) Nowhere yet.** We are $23.9 million from breakeven and paying $27.7 million of interest — retire debt first, then invest.
- **(B)** Behind **consignment supply** — it returns about 89 cents on the revenue dollar against roughly 22 for direct, so the same growth is worth four times as much there.
- **(C)** Into the **authentication centres**, so we can push more consigned volume through the same 40%-of-revenue cost base — that is where the operating leverage is.
- **(D)** Behind **direct** — it grew 41% and we keep 100% of the proceeds instead of 37.7%.

Need more evidence? Detailed role reference.

Marketing Lead

Decision

Marketing is $63.3 million — 9% of revenue — and it buys both buyers and consignors. Where should that money go?

Your four choices — pick one

- **(A)** Into the **category story** — circular luxury and sustainability — to grow the whole resale market rather than fight for share of it.
- **(B)** Into **buyer acquisition** — 1.06 million active buyers out of 40 million members is 2.6%, and that gap is the biggest number on the page.
- **(C)** Into **unlocking supply** — recruiting consignors and turning existing buyers into consignors. Sell-through is over 80%, so goods are not what we are short of customers for; customers are what we are short of goods for.
- **(D)** Into **retention on both sides** — over 80% of GMV is repeat, so losing a repeat consignor costs more than a new buyer earns.

Need more evidence? Detailed role reference.

Operation Lead

Decision

Authentication runs through 1.4 million square feet and costs 40% of revenue. Every item gets a brand-specific physical check. What do you do with this step?

Your four choices — pick one

- **(A) Attack the 24.2% return rate at intake** — better condition grading, description and photography, so fewer authenticated items make the round trip twice.
- **(B) Move to sampling** — full authentication above a price threshold, spot-checks below it. At 40% of revenue we cannot afford to inspect everything.
- **(C) Grow the drop-ship consignment service**, where goods never pass through our buildings at all — it is the cheapest volume we can add.
- **(D) Automate inside the step** — AI attribution, pricing, copywriting, photo retouching — so the cost per item falls while every item still gets its brand-specific physical check.

Need more evidence? Detailed role reference.

Tech Lead

Decision

Cash is tight and the platform spans authentication AI, pricing models, risk scoring, single-SKU inventory, payments and hosting. What do you build and what do you buy?

Your four choices — pick one

- **(A) Invest hardest in the data itself** — 50 million item sales, up to 50 attributes each — because it is what makes our authentication and pricing better than anyone else's and it cannot be bought.
- **(B) Freeze platform investment** until we are profitable — we are $23.9 million from breakeven and the technology already works.
- **(C) Build** the authentication AI, the risk scoring and the single-SKU system ourselves; **buy** everything a consignor will never see — payments, hosting, email, back office.
- **(D) Buy a proven marketplace platform** and configure it. We are a resale company, not a software company, and engineering is expensive.

Need more evidence? Detailed role reference.

Account Manager

Hear the four leads; rank Money, Authentication, Marketing, Technology from 1–4 and distribute 100 priority points in blocks of 10. Defend the first priority with evidence, describe one trade-off, and name a condition that would change your ranking. There is no required ranking independent of your reasoning.

Save before leaving

Decision → evidence and source → trade-off → change after discussion → concept and venture application. Keep your own copy for the reflection.

Venture workshop

Draw your venture's value chain. Circle one difficult-to-copy step, name the customer problem it solves, and identify one piece of evidence you still need. **Output:** A value-chain sketch plus one evidence-backed sentence for Midterm Section B.

Submission

Submit your individual reflection in the existing HuskyCT assignment at its current deadline. Use the five headings in the reflection guide; from October 20 onward, aim for 300–500 words. The workshop is project preparation, not a separate new graded submission.